deposits, insurance policies and retirement accounts are available to investors for information purposes. Government investment products like government securities and small-saving products or government-guaranteed investment products like EPFO, Shram Yogi Maandhan and Karam Yogi Maandhan are completely traditional products in an electronic environment. Technology has found no real application in managing these investments.

The fintech policy agenda in the investment space is massive.

All investment products—fixed deposits, small savings products, retirement savings and pension products, insurance policies, government securities, MF units—should be turned into digital products by dematerializing them or creating a crypto blockchain.

Banks can issue fixed deposits in the specific amounts for a specific period at a specified rate of interest without specifying any particular deposit holder. These are akin to certificates of deposit currently in use in the non-retail/commercial space. Investors can buy these fixed deposits and keep them till maturity, sell them to others in between or raise loans against them. These fixed deposits virtually acquire the character of bonds. Banks can also issue deposit holders specific fixed deposits that the depositors may not be able to sell but can raise a loan against. Such deposits can be provided with a facility of premature encashment with a penalty. Similarly, all other investment products can be reengineered as digital securities or securities-like products.

Once this is done, fintech companies can join the party as technology intermediators, much the same way as they do in the payment space today. Fintech companies will bring millions of investors in the investment universe and free banks, insurance companies and governments of the need for a direct retail interface. These financial companies will become lean and mean and would focus on their core business of banking, insurance or debt management.